

Executive Memo: ERP Transformation Strategy for Alpha Manufacturing Group (AMG)

TO: Executive Leadership Team, Alpha Manufacturing Group

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SUBJECT: Recommended Approach for ERP Transformation Program

Purpose

This memo outlines a recommended approach for Alpha Manufacturing Group's ERP transformation initiative. The recommendations address fragmented systems, poor visibility into profitability, manufacturing delays, and operational inefficiencies while minimizing disruption to ongoing operations.

Key Objective

Replace the fragmented legacy environment with a modern cloud ERP that integrates engineering, manufacturing, finance and reporting while minimizing business disruption.

Recommendation

I recommend a phased cloud ERP implementation centered on four priorities:

- Business Continuity
- Data Quality and Governance
- User Adoption and Change Management
- Operational Visibility and Reporting

This approach balances risk reduction with long-term business value and positions AMG for future growth.

Implementation Approach

Phase 1: Assessment and Planning

Conduct stakeholder interviews, process mapping, requirements gathering, and a comprehensive data assessment. Define project objectives, governance structures, and success metrics.

Phase 2: Design and Preparation

Select the ERP platform, design future-state processes, establish integration requirements, and prepare data migration and training plans.

Phase 3: Implementation and Testing

Implement core operational modules including Finance, Procurement, Inventory Management, Manufacturing Planning, and BOM integration. Conduct extensive testing before deployment.

Phase 4: Go-Live and Stabilization

Provide intensive user support, monitor performance, resolve issues quickly, and track adoption metrics.

Governance Framework

To ensure accountability and effective decision-making, AMG should establish:

Central ERP Team: Manages system-wide configurations, architecture, and major upgrades.

Data Standards: Enforces strict rules regarding data entry, ownership, and master data management (MDM) to ensure the system yields reliable, high-quality insights.

Segregation of Duties (SoD): System controls that ensure no single user has the ability to both execute and approve a transaction (e.g., creating a vendor and approving an invoice)

Change Approval Boards (CAB): A strict review process for proposed modifications (custom code, workflow updates, or new integrations) to ensure they do not disrupt core financial and operational functions.

- Monthly project review meetings by a project management committee.
- Strong governance will reduce delays, improve transparency, and maintain alignment with business objectives.

Scope Management and Sequencing

To reduce implementation risk, the initial deployment should focus only on business-critical capabilities.

Day-One Scope:

- Finance
- Procurement
- Inventory Management
- Manufacturing Planning
- Core Reporting
- BOM Integration

Deferred Scope:

- Advanced Analytics
- Complex Customizations
- Non-essential Reports
- Additional Workflow Automations

This sequencing reduces risk and ensures operational continuity during deployment.

Data and Reporting Strategy

Historical operational and financial data should be migrated where necessary for reporting and compliance purposes. Older records should be archived and made accessible when required.

To maintain reporting continuity, AMG should run parallel reporting processes during the transition period and validate outputs between the legacy and new systems. Multiple month-end close simulations should be completed before go-live to ensure reporting accuracy.

Change Management and Stakeholder Engagement

Technology alone will not determine project success. Employee adoption is critical.

Recommended actions include:

- Stakeholder engagement workshops
- Regular communication updates
- Departmental change champions
- User training programs
- Post-go-live support resources

These initiatives will improve user adoption, reduce resistance, and support a smoother transition.

Key Risks & Mitigation

Poor Data Quality – Conduct data cleansing and validation before migration.

User Resistance – Implement communication plans, training programs, and change champions.

Scope Creep – Establish formal governance and change approval procedures.

Operational Disruption – Use phased deployment and contingency planning.

Integration Failures – Conduct comprehensive testing and pilot validation.

Conclusion

AMG's ERP transformation presents an opportunity to improve operational efficiency, profitability visibility, and long-term scalability. By adopting a phased implementation strategy supported by strong governance, disciplined scope control, and effective change management, AMG can successfully maximize business efficiency while minimizing business risk.